5. Income and Expenditure Account is prepared to find out

(a) Profit or loss (b) Cash and bank balance

(c) Surplus or deficit (d) Financial position

6. Which of the following should not be recorded in the income and expenditure account?

(a) Sale of old news papers (b) Loss on sale of asset

(c) Honorarium paid to the secretary (d) Sale proceeds of furniture

7. Subscription due but not received for the current year is

(a) An asset (b) A liability

(c) An expense (d) An item to be ignored

8. Legacy is a

(a) Revenue expenditure (b) Capital expenditure

(c) Revenue receipt (d) Capital receipt

9. Donations received for a specific purpose is

(a) Revenue receipt (b) Capital receipt

(c) Revenue expenditure (d) Capital expenditure

10. There are 500 members in a club each paying ₹ 100 as annual subscription. Subscription due but not received for the current year is ₹ 200; Subscription received in advance is ₹ 300. Find out the amount of subscription to be shown in the income and expenditure account.

a) ₹ 50,000 b) ₹ 50,200 c) ₹ 49,900 d) ₹ 49,800

Answers

1. (b)	**2. (c)**	**3. (d)**	**4. (a)**	**5. (c)**	**6. (d)**	**7. (a)**	**8. (d)**	**9. (b)**	**10. (a)**

II Very short answer questions

1. State the meaning of not–for–profit organisation.

2. What is receipts and payments account?

3. What is legacy?

4. Write a short note on life membership fees.

5. Give four examples for capital receipts of not–for–profit organisation.

6. Give four examples for revenue receipts of not–for–profit organisation.

III Short answer questions

1. What is income and expenditure account?

2. State the differences between Receipts and Payments Account and Income and Expenditure Account.

3. How annual subscription is dealt with in the final accounts of not–for–profit organisation?

4. How the following items are dealt with in the final accounts of not–for–profit organisation?

a) Sale of sports materials b) Life membership fees c) Tournament fund

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